

# Bajaj Auto Ltd (BAJAJ-AUTO)

Sector: Consumer Discretionary

ROE

**26.6%**

ROCE

**27.2%**

D/E

**0.07x**

OPM

**19.5%**

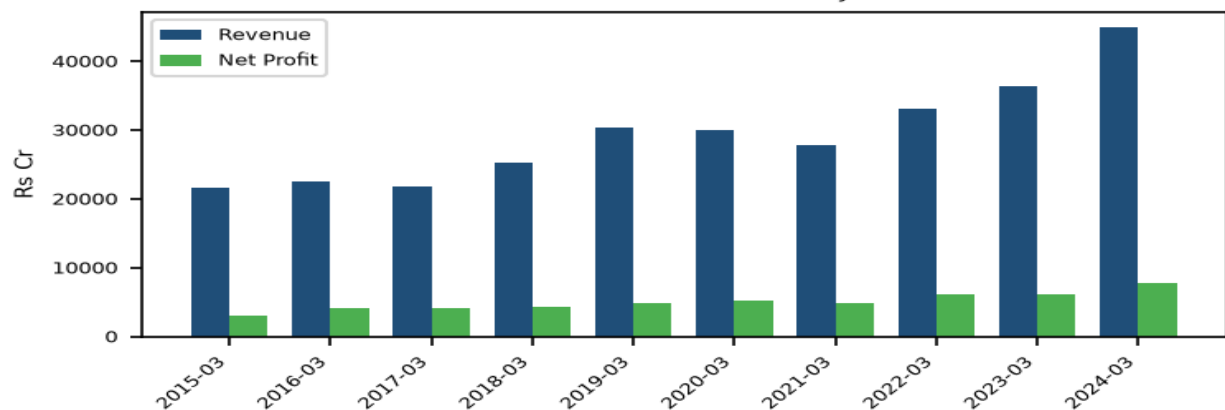
Revenue CAGR 5yr

**8.1%**

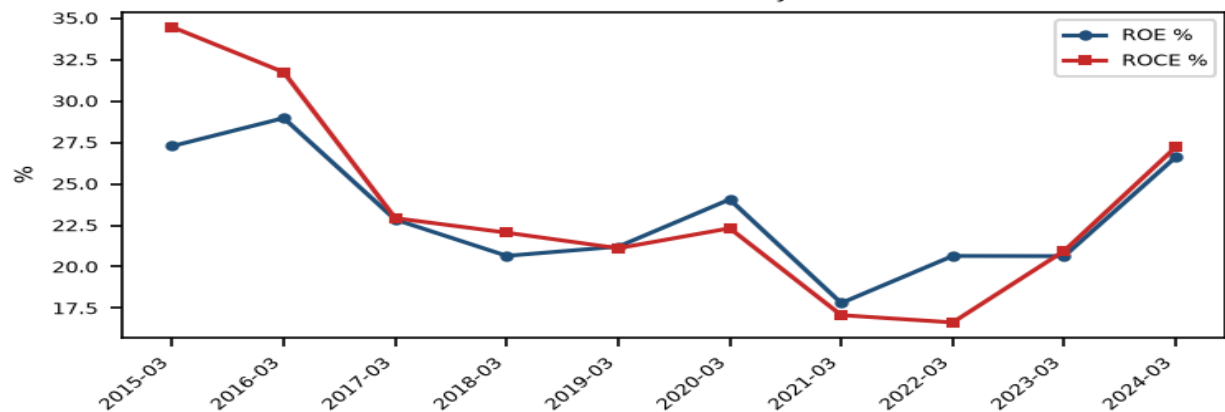
Free Cash Flow

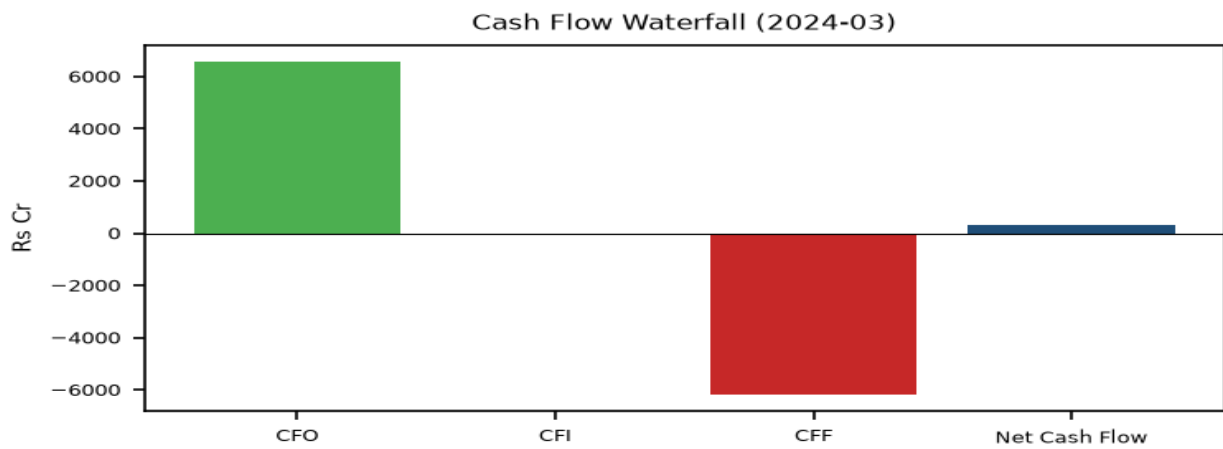
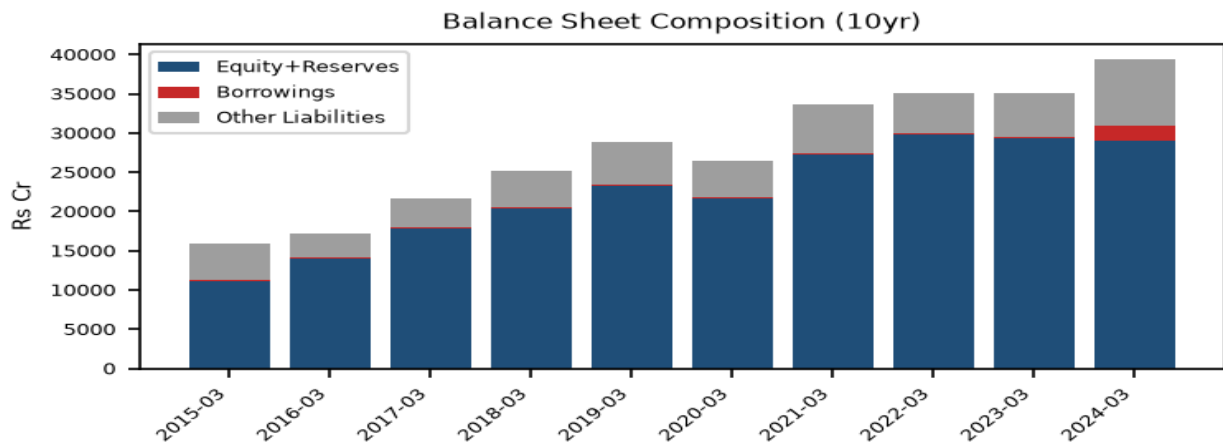
**Rs 6,486 Cr**

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





### Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

**Capital Allocation: Reinvestor**